

Ticket Pricing Strategy Evaluation

ANSWERING THREE CORE
QUESTIONS ON PRICING &
CAPACITY

BY: EMMANUEL INDIAMAOWEI



BUSINESS CONTEXT



Problem 1

A professional basketball league in the United States is facing **inconsistent attendance** in general seating areas.

Problem 2

The league is additionally dealing with **underutilized seating capacity** in non-premium sections.

Problem 3

The league's revenue growth is increasingly dependent on **pricing strategy optimization**, not just ticket volume.

To address these challenges, this analysis examines whether Upper Bowl seats are overpriced, whether dynamic pricing increases revenue, and whether discounting is weakening premium section profitability.



The analysis uses comparative bar charts and scatterplots to evaluate relationships between pricing strategy, sell-through rates (percent of seats sold), and revenue per seat. Performance is benchmarked against industry averages and capacity thresholds to identify pricing gaps and revenue opportunities.





PROJECT OBJECTIVES



Are Upper Bowl seats overpriced?

This analysis evaluates whether Upper Bowl pricing aligns with current market demand. Sell-through rates are compared to industry benchmarks to assess potential pricing inefficiencies.

Does dynamic pricing increase revenue?

This section examines whether price adjustments improve revenue per seat relative to static (non-adjusted) pricing. The goal is to determine whether pricing flexibility enhances overall revenue performance without harming demand.

Is discounting hurting premium sections?

This analysis evaluates the trade-off between discounts and revenue performance in VIP and Courtside seating. Sell-through improvements are weighed against reductions in revenue per seat to assess overall profitability impact.





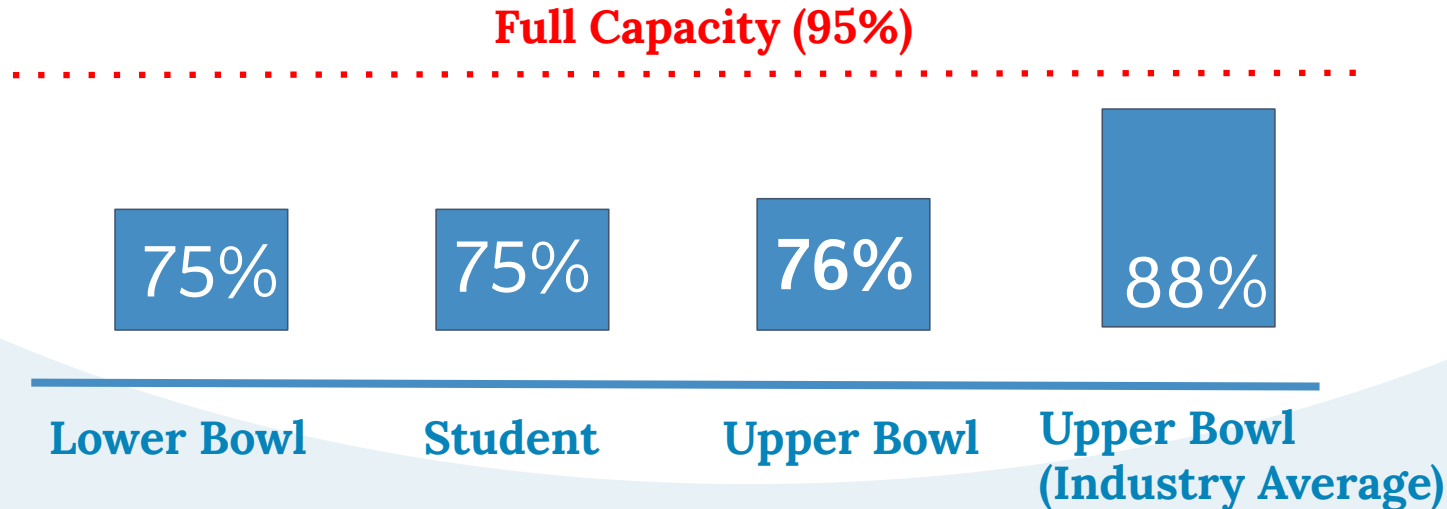
**Are Upper Bowl
seats overpriced?**

From a Demand Perspective

Key Findings

- Upper Bowl sell-through rate: **76%** (only 3 out of 4 seats filled per game)
- Industry average Upper Bowl sell-through: **88%** (**Upper Bowl is 12% below this rate**)
- Full capacity benchmark: **95%** (typical “full arena” performance)

Conclusion: The consistent demand gap indicates pricing may be limiting capacity utilization.

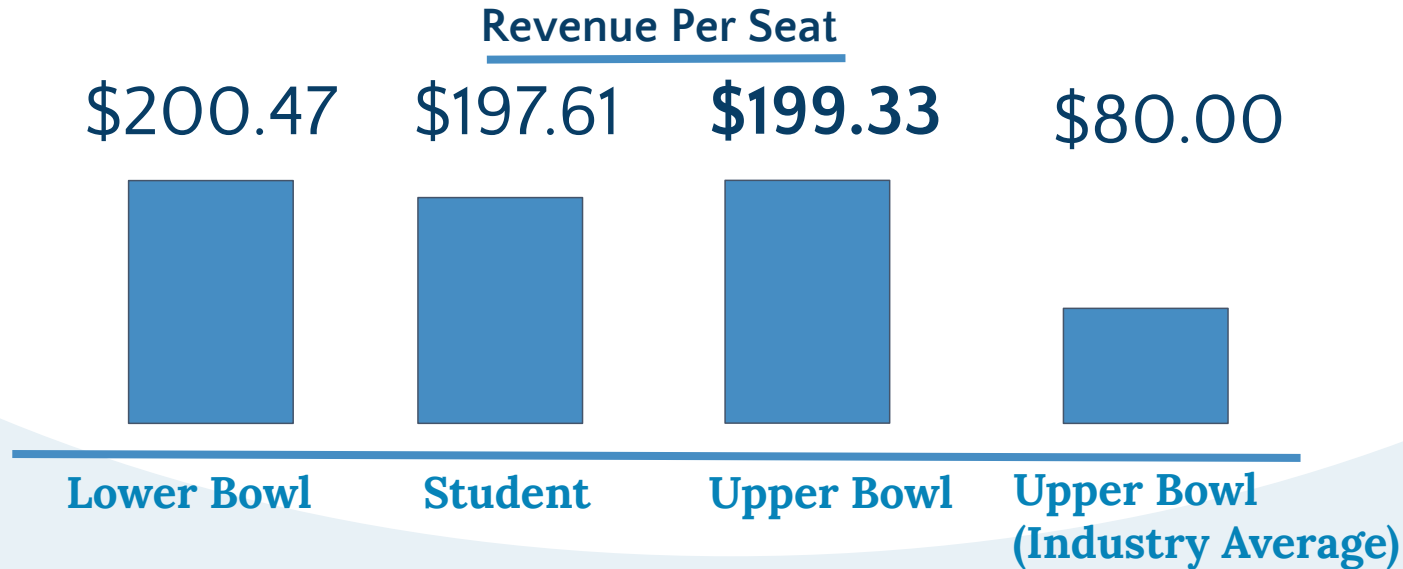


From a Revenue Perspective

Key Findings

- Generates **\$199.33 per seat**, well above industry benchmark of **\$80.00**
- Shows ability to compete at chosen price rather than market price

Conclusion: Higher pricing generates strong per-seat revenue- more than double that of the industry benchmark which boosts overall revenue.



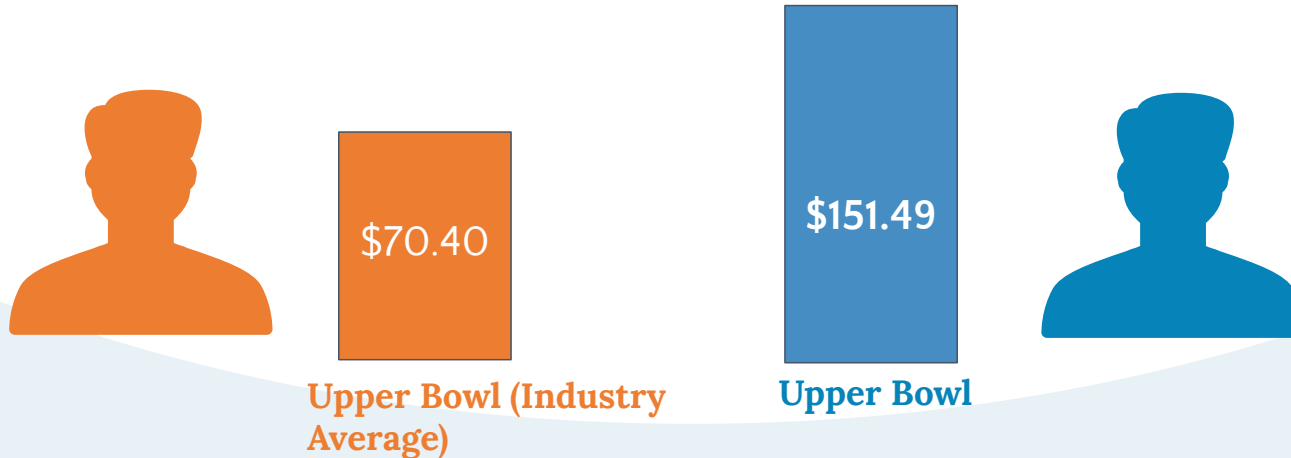
From a Profit Perspective

Key Findings

- Industry Average: **\$70.40** per seat (0.88 sell-through x \$80.00 revenue per seat)
- Upper Bowl performance: **\$151.49** per seat (0.76 sell-through x \$199.33 revenue per seat)
- Upper Bowl **more than double** the profit of Industry Average

Conclusion: Despite a lower sell-through rate, the higher ticket price more than doubles profit per seat vs. industry average, indicating strong profitability in the Upper Bowl.

Profit Per Seat

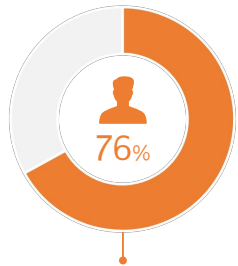


From a mixed (Revenue and Demand) Perspective

Key Findings

- Sell-through consistently around **70–80%**
- Demand shows limited sensitivity to price increases

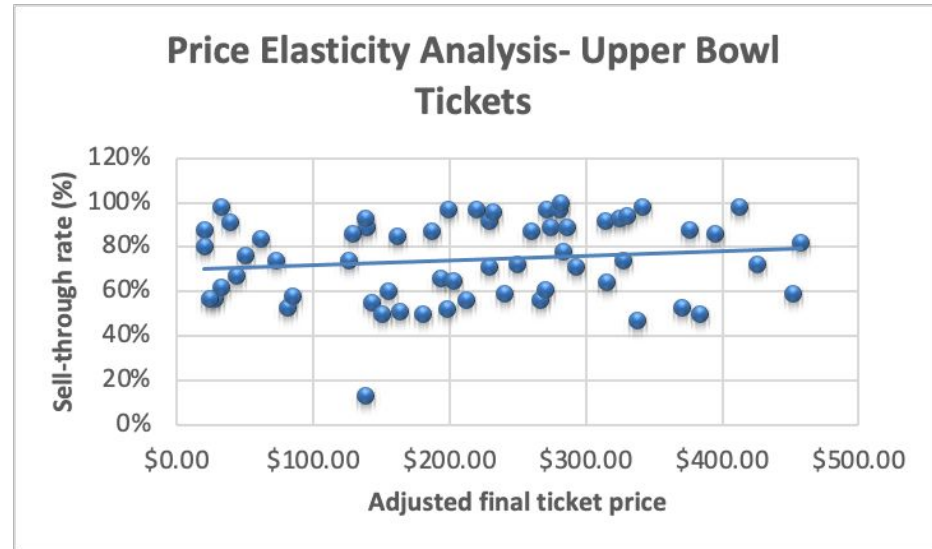
Conclusion: From a revenue-maximization standpoint, Upper Bowl pricing is not necessarily too high, as customers are still willing to pay premium prices.

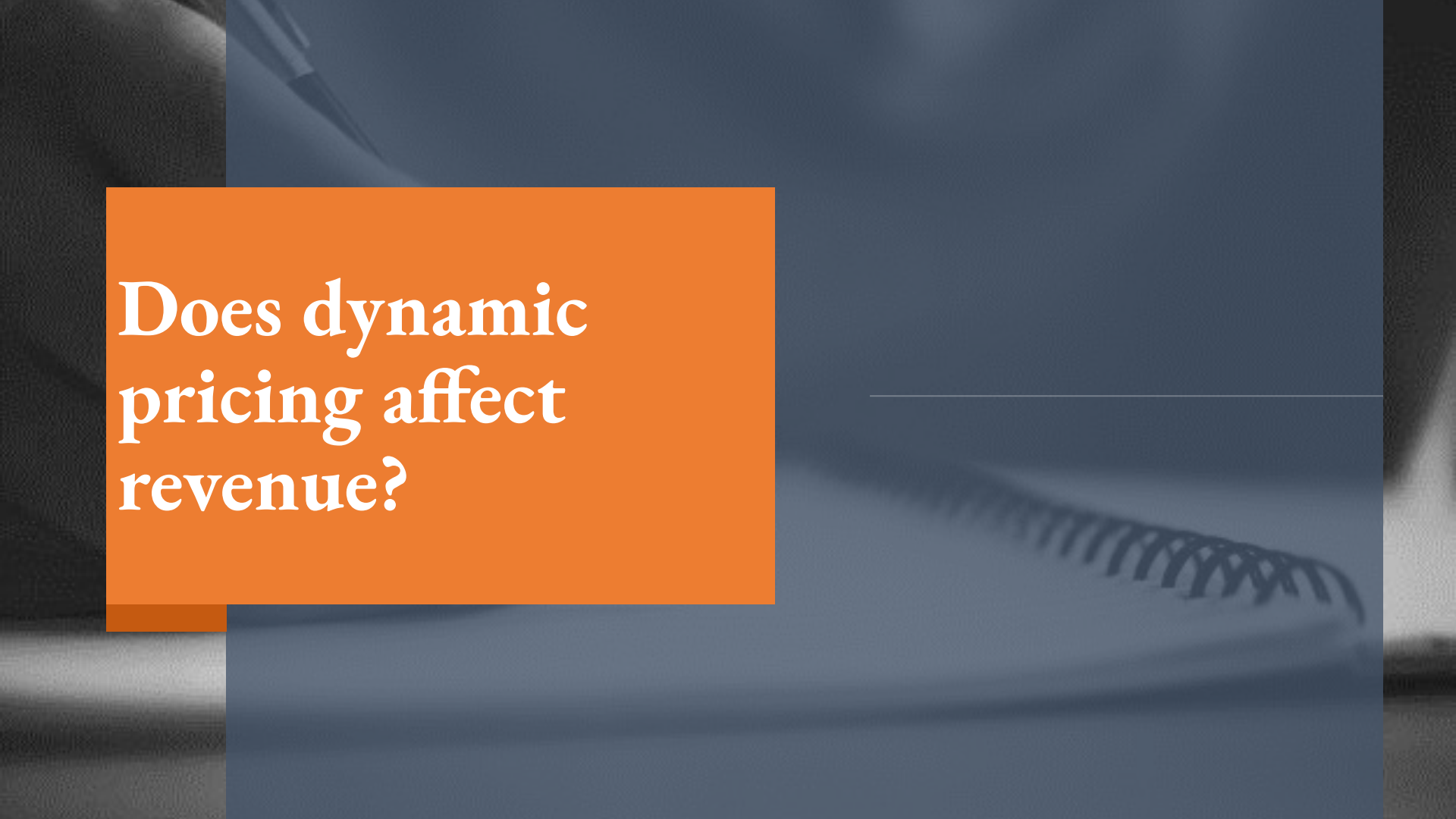


Average
Sell-through
rate



Ideal
Sell-through
rate





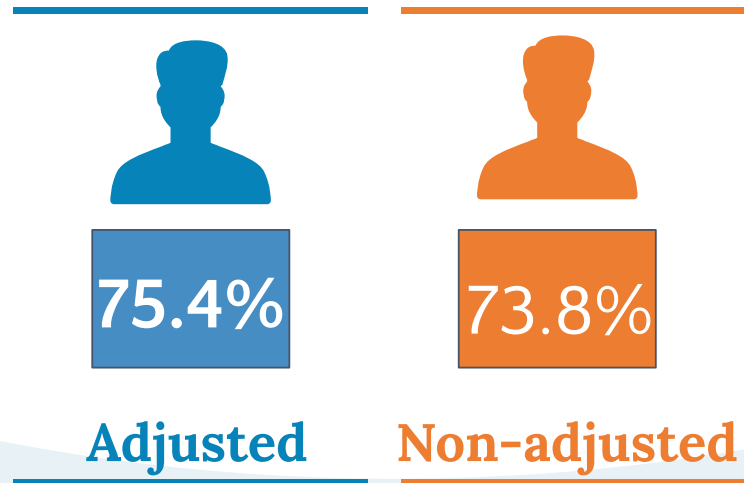
Does dynamic
pricing affect
revenue?

From a Demand Perspective

Key Findings

- 75.4% of seats sold under adjusted pricing
- 73.8% of seats sold under static pricing
- Higher sell-through suggests stronger demand alignment

Conclusion: Dynamic pricing enhances revenue by better matching prices to market demand.



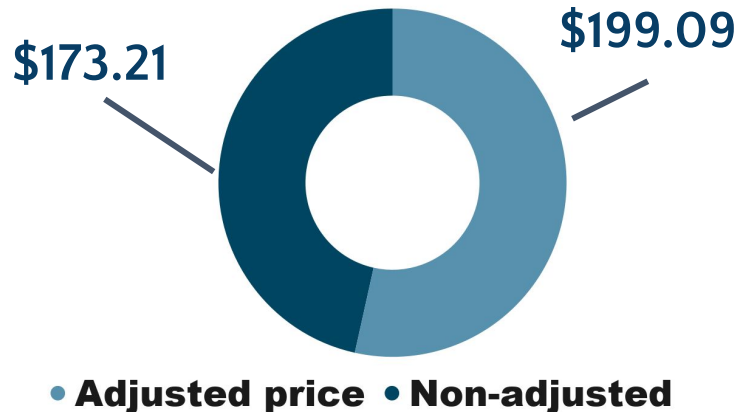
From a Revenue Perspective

Key Findings

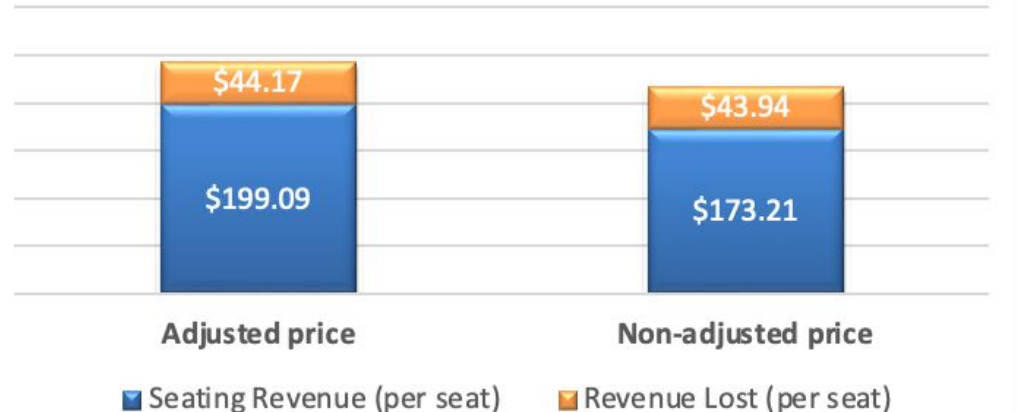
- Revenue per seat increases with adjusted pricing: **\$199.09 vs \$173.21**.
- Minimal downside from unsold seats: lost revenue rises slightly (**\$44.17 vs \$43.94**).

Conclusion: Higher prices capture more value without meaningfully increasing risk, supporting dynamic pricing.

Revenue Per Seat Breakdown by Price type



Revenue Performance Comparison: Adjusted vs. Non-adjusted pricing

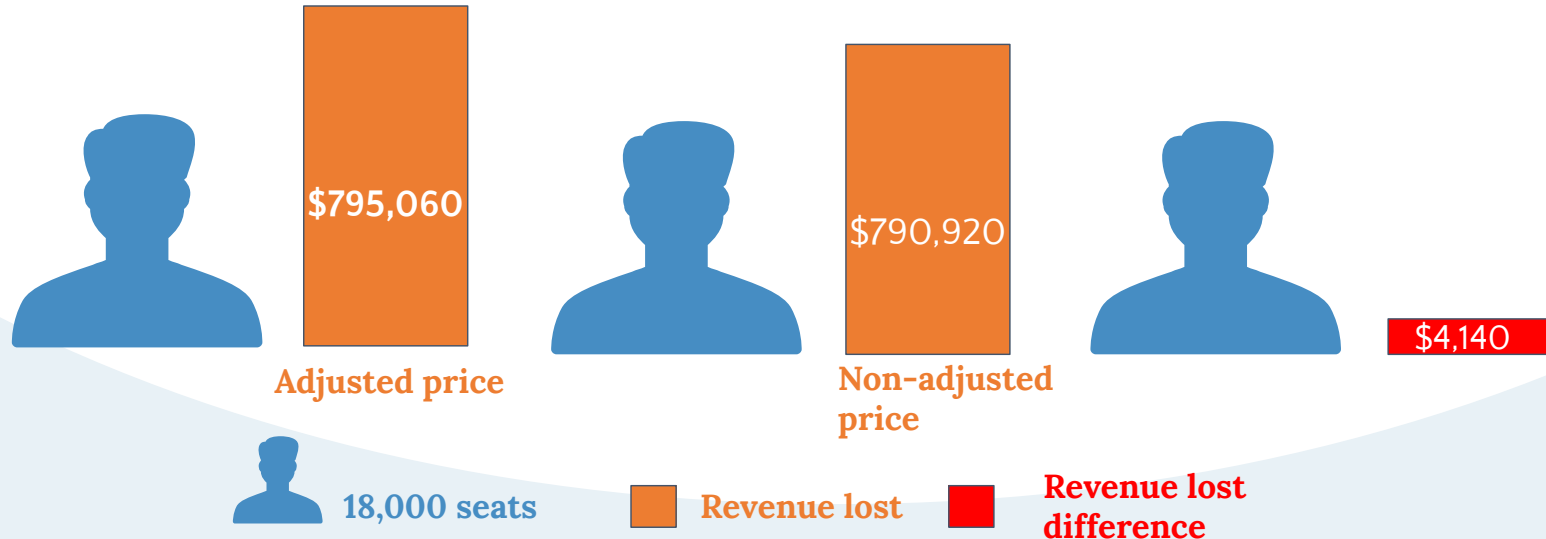


From a Volume Perspective: Revenue Loss

Key Findings

- Typical professional basketball arenas contain **18,000 – 20,000 seats** (use 18,000 as a conservative estimate)
- **Adjusted price:** At a large volume, **\$795,060** total revenue lost from unsold seats
- **Non-adjusted price:** **\$790,920** total revenue lost from unsold seats.

Conclusion: The difference is **\$4,140** which is significant, but the revenue gained at the adjusted price greatly outweighs this revenue loss (see next slide).

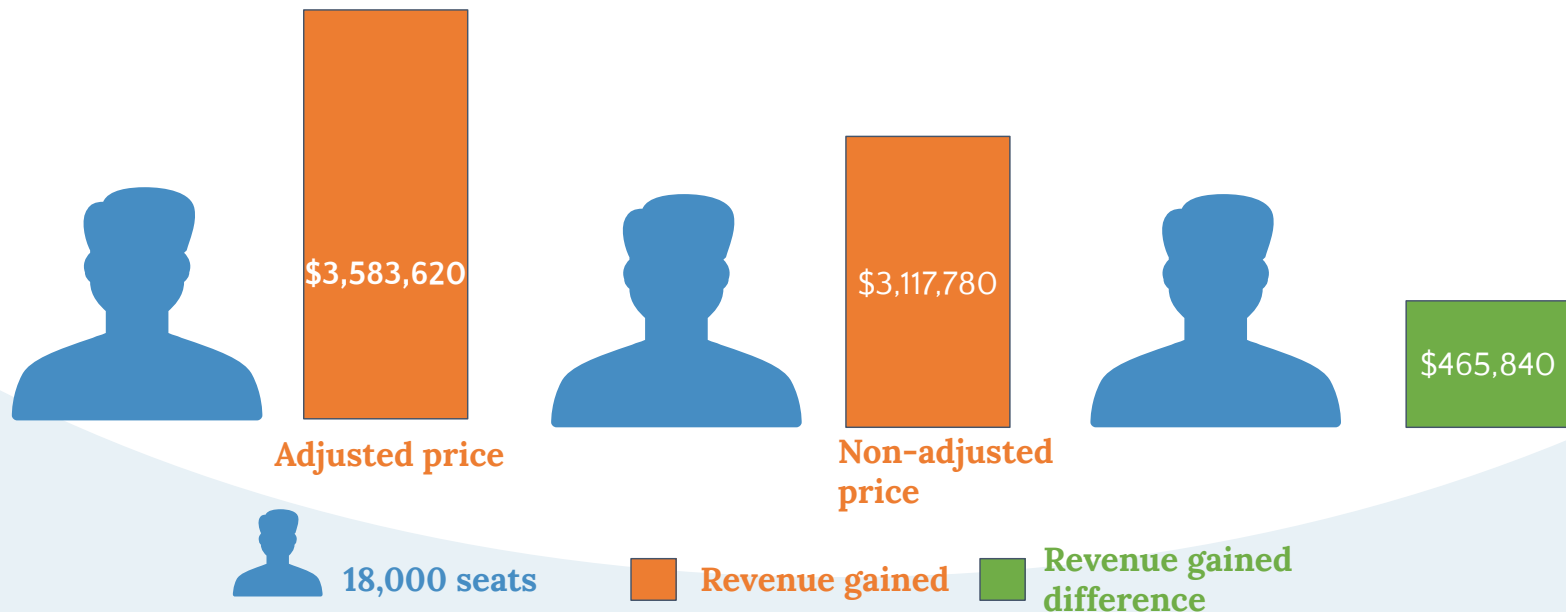


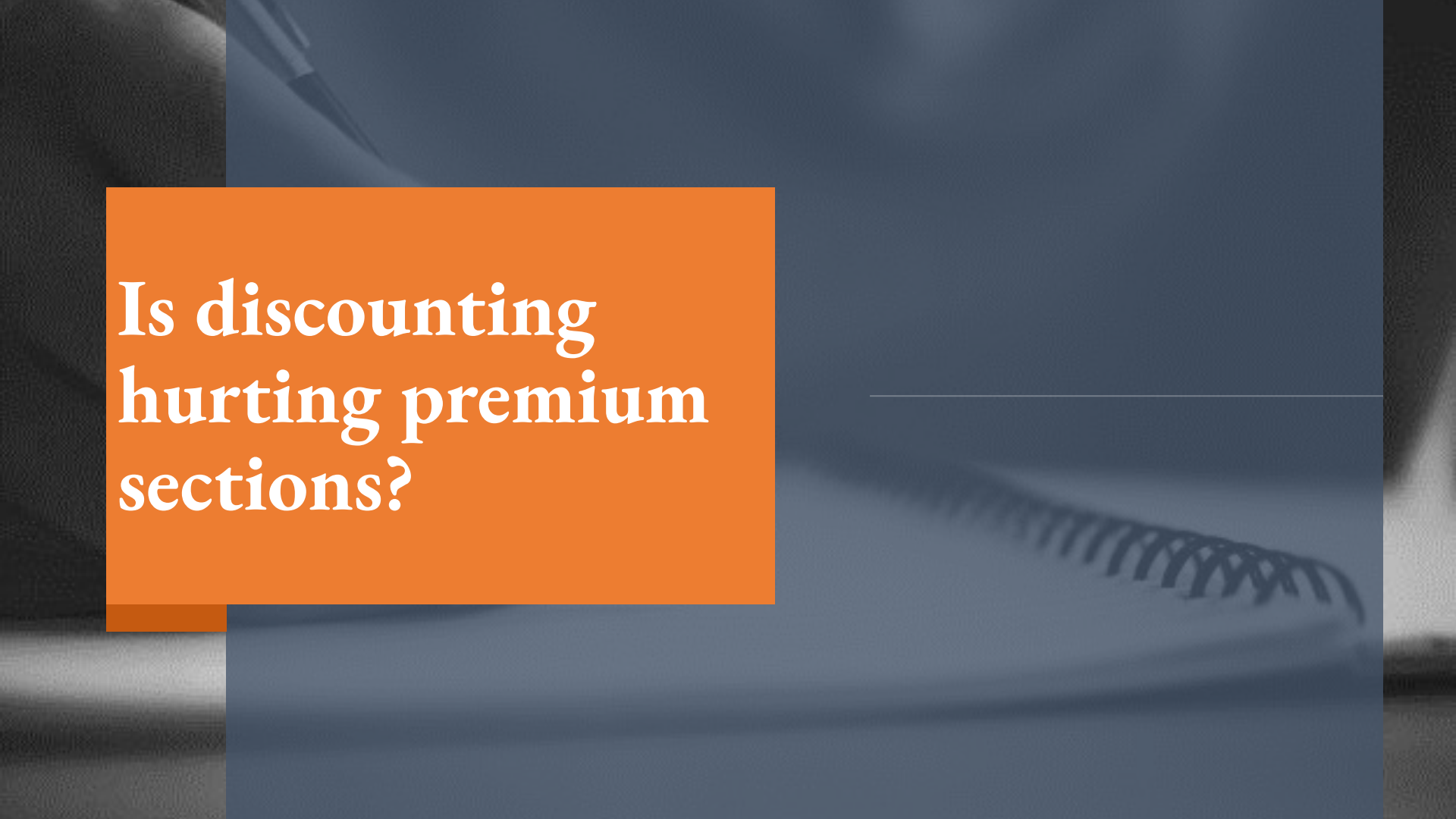
From a Volume Perspective: Revenue Gain

Key Findings

- **Adjusted price:** At a large volume, **\$3,583,620** total revenue gained from sold seats
- **Non-adjusted price:** **\$3,117,780** total revenue gained from sold seats.

Conclusion: Dynamic pricing produces **\$465,840** in additional revenue at scale while increasing losses by only **\$4,140**, showing that the revenue gains far exceed the marginal increase in lost revenue.





Is discounting
hurting premium
sections?

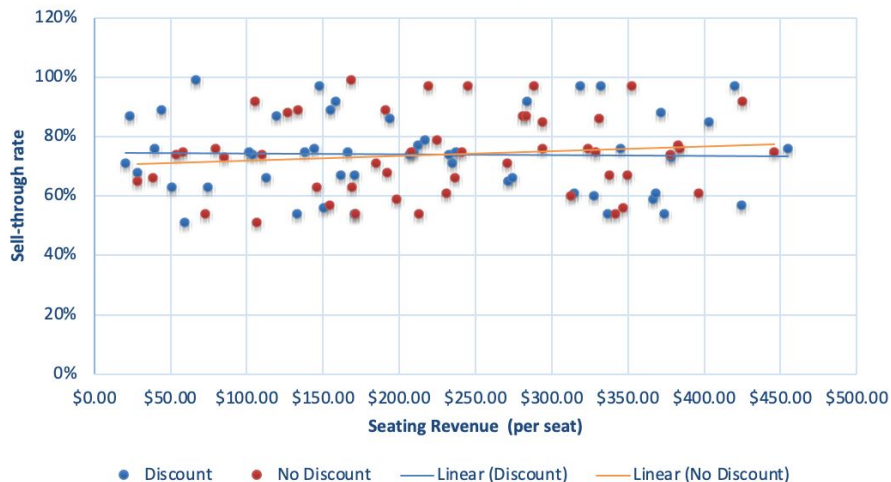
From a Demand Perspective

Key Findings

- **Slightly higher** sell-through without discounts at **higher prices** – about **5% more seats sold** when full price is maintained.
- **Trend lines confirm the pattern** – “No Discount” consistently outperforms “Discount.”

Conclusion: Discounting premium sections does not meaningfully increase sales and may reduce revenue potential.

Price Elasticity Analysis- Effects of Discounts on Sell-through rates for Premium Seating



Sell-through rate



75%

Discount



76%

No Discount



From a Revenue Perspective

Key Findings

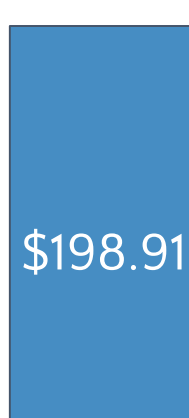
- **Premium seats earn more without discounts** – revenue per seat is **\$20–30 higher** when full price is maintained at **higher revenue points**.
- **Trend analysis confirms** – “No Discount” consistently outperforms “Discount” over time.

Conclusion: Offering discounts decreases the value of premium inventory; maintaining full price maximizes revenue without impacting overall sales significantly.

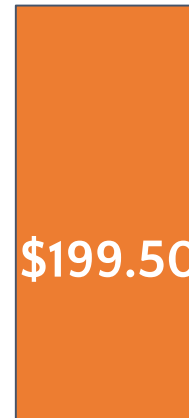
Price Elasticity Analysis- Effects of Discounts on Premium Seating Revenue



Revenue Per Seat



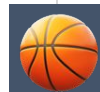
Discount



No Discount

\$198.91

\$199.50





Final Insights and Conclusion

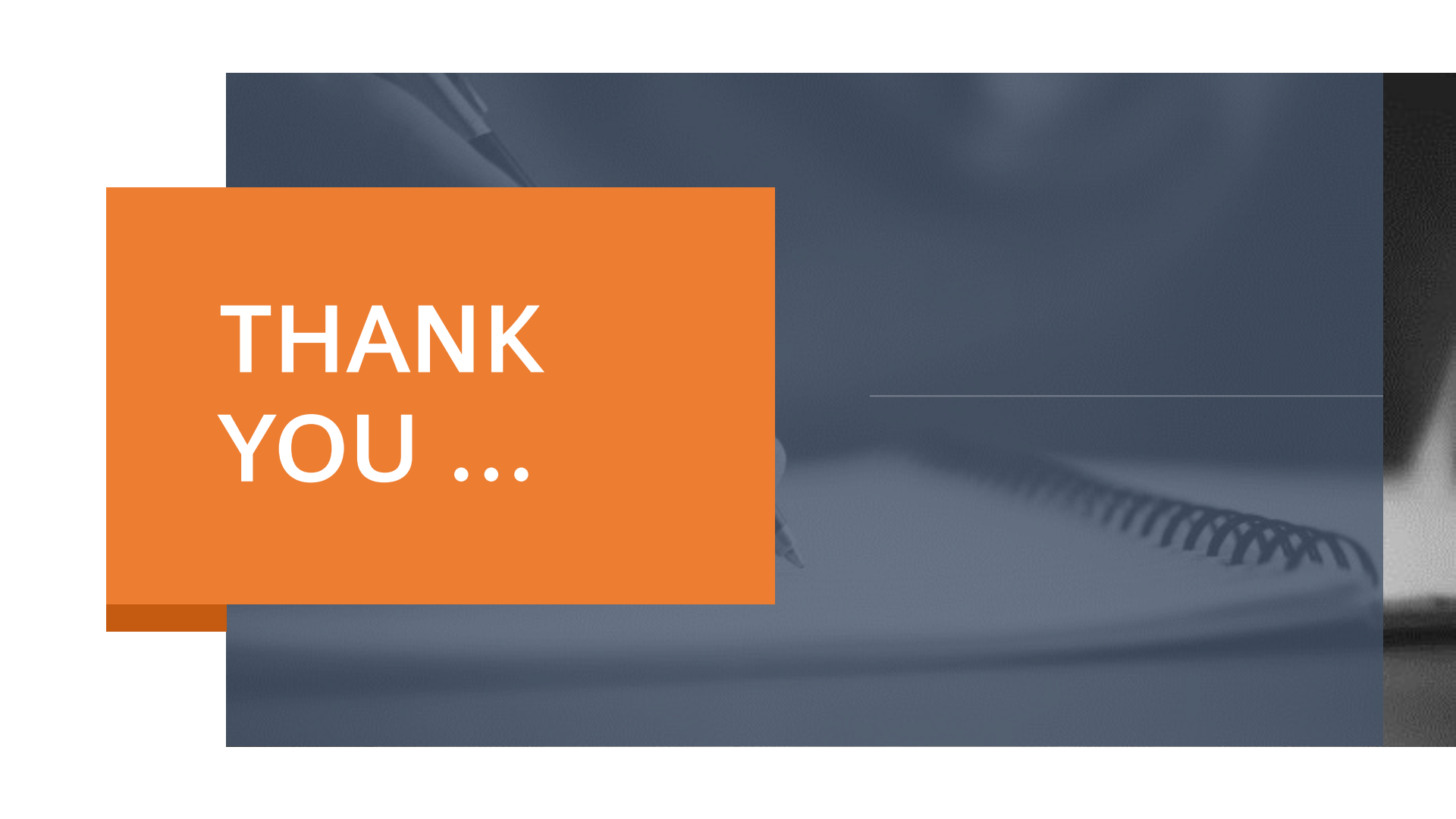


Overall, the findings suggest that pricing strategy should balance revenue maximization with long-term capacity utilization and brand positioning. While dynamic pricing shows measurable benefits, premium discounting should be applied selectively to avoid eroding perceived value. A more targeted, data-driven pricing approach can improve both profitability and demand alignment going forward.



- ✓ Upper Bowl seats appear overpriced from a capacity utilization standpoint, but strong revenue per seat and relatively inelastic demand suggest pricing remains effective from a revenue-maximization perspective.
- ✓ Dynamic pricing modestly improves sell-through and enhances revenue performance without materially reducing demand.
- ✓ Discounting in premium sections risks eroding revenue per seat and may weaken overall profitability without delivering proportional demand gains.



The background of the slide is a dark, muted blue-grey color. It features a blurred image of a silver pen and a spiral-bound notebook, suggesting a professional or academic setting. The pen is positioned diagonally in the upper left, and the notebook is in the lower right. A thin, light-colored horizontal line is visible in the middle of the background.

**THANK
YOU ...**